

United States 2016

1 Survey Description

Survey: The Panel Study of Income Dynamics (PSID) is the longest longitudinal household survey in the world. The Study started in 1968 and is currently being developed by the University of Michigan. It includes data related to employment, income, wealth, expenditures, health, marriage, childbearing, child development, philanthropy, education, and other topics. This document refers specifically to the data collected in 2014.

Link to the document: <https://simba.isr.umich.edu/data/data.aspx>

Sample: The sample of the PSID was originally composed of approximately 18,000 people in 5,000 households, making it a representative sample of the entire country. This sample was complemented with a non-representative oversample of low-income families to facilitate the investigation of issues related to poverty and vulnerability. Over the years, the sample size has changed as the number of members in the families considered originally has grown.. There are 12,714 individuals in the total sample and 9,668 individuals in the analysis sample. Section 3 of this document describes the prevalence and pattern of missing data.

Weights: Population weights are computed as the ratio between specific weights for the Panel Study of Income Dynamics (PSID) and the Current Population Survey (CPS). These weights, based on sex, age, and ethnicity, are tailored for different demographic groups. Age groups are formed, and missing values are imputed using historical data. The process ensures a more representative combined dataset for analysis.

Outcome: The outcome variables are annual equivalized household disposable total (*eq_iinc*) income in dollars PPP 2017.¹

Circumstances:

- Race/Ethnicity (white, black, american indian, aleut, eskimo, asian, pacific islander, hispanic and others described in Table 1)
- Sex (female, male)
- Region of upbringing (6 categories described in Table 1)
- Fathers's edu. (years of education, described in Table 2)
- Mother's edu. (years of education, described in Table 2)
- Father's occ. (3 categories, High: includes ISCO 1, 2 and 3, Medium: includes ISCO 4, 5 and 6, and Low: ISCO 7, 8, 9 and 0, described in Table 3)
- Mother's occ. (3 categories, High: includes ISCO 1, 2 and 3, Medium: includes ISCO 4, 5 and 6, and Low: ISCO 7, 8, 9 and 0, described in Table 3)

¹Income variable was equivalized using the square root scale.

2 Descriptive Statistics

Table 1: Respondant's socio-demographics - 2016

	Analysis sample	Total sample
	(N=9,668)	(N=12,714)
Gender		
0 Male	5,439 (56.3%)	7,021 (55.2%)
1 Female	4,229 (43.7%)	5,693 (44.8%)
Ethnicity		
1 White	6,235 (64.5%)	7,441 (58.5%)
2 Black	2,986 (30.9%)	4,528 (35.6%)
3 Am. Indian, Aleut, Eskimo	45 (0.5%)	75 (0.6%)
4 Asian, Pac. Islander	44 (0.5%)	57 (0.4%)
5 Hispanic	323 (3.3%)	479 (3.8%)
7 Other	35 (0.4%)	58 (0.5%)
Missing	0 (0%)	76 (0.6%)
Region of upbringing		
1 Northeast	1,509 (15.6%)	1,858 (14.6%)
2 North central	2,887 (29.9%)	3,686 (29.0%)
3 South	3,740 (38.7%)	5,114 (40.2%)
4 West	1,377 (14.2%)	1,689 (13.3%)
5 Alaska, Hawaii	11 (0.1%)	16 (0.1%)
6 Foreign country	144 (1.5%)	192 (1.5%)
Missing	0 (0%)	159 (1.3%)

Table 2: Parental education - 2016

	Analysis sample	Total sample
	(N=9,668)	(N=12,714)
Father's education (levels)		
1 0-5 Grades	270 (2.8%)	483 (3.8%)
2 6-8 Grades	994 (10.3%)	1,156 (9.1%)
3 9-11 Grades	986 (10.2%)	1,213 (9.5%)
4 High school	3,531 (36.5%)	4,593 (36.1%)
5 12 Grades + non academic training	566 (5.9%)	694 (5.5%)
6 Some College	1,178 (12.2%)	1,369 (10.8%)
7 College degree	1,316 (13.6%)	1,548 (12.2%)
8 Advanced College degree	827 (8.6%)	914 (7.2%)
Missing	0 (0%)	744 (5.9%)
Mother's education (levels)		
1 0-5 Grades	200 (2.1%)	379 (3.0%)
2 6-8 Grades	598 (6.2%)	749 (5.9%)
3 9-11 Grades	953 (9.9%)	1,236 (9.7%)
4 High school	3,799 (39.3%)	4,948 (38.9%)
5 12 Grades + non academic training	588 (6.1%)	714 (5.6%)
6 Some College	1,573 (16.3%)	1,948 (15.3%)
7 College degree	1,328 (13.7%)	1,666 (13.1%)
8 Advanced College degree	629 (6.5%)	734 (5.8%)
Missing	0 (0%)	340 (2.7%)

Table 4: Respondant's income - 2016

	N	Mean	SD	Median	Min	Max	Missing
Analysis sample	9,668	48,090	49,496	37,974	0.0	1,024,298	0
Total sample	12,714	43,660	45,425	34,339	-723.1	1,024,298	0

Table 3: Parental occupation - 2016

	Analysis sample	Total sample
	(N=9,668)	(N=12,714)
Father's occupation (ISCO)		
1 Low	3,127 (32.3%)	3,444 (27.1%)
2 Middle	3,615 (37.4%)	3,858 (30.3%)
3 High	2,926 (30.3%)	3,082 (24.2%)
Missing	0 (0%)	2,330 (18.3%)
Mother's occupation (ISCO)		
1 Low	4,598 (47.6%)	5,315 (41.8%)
2 Middle	1,719 (17.8%)	2,229 (17.5%)
3 High	3,351 (34.7%)	3,823 (30.1%)
Missing	0 (0%)	1,347 (10.6%)

3 Missing data analysis

3.1 Missing patterns

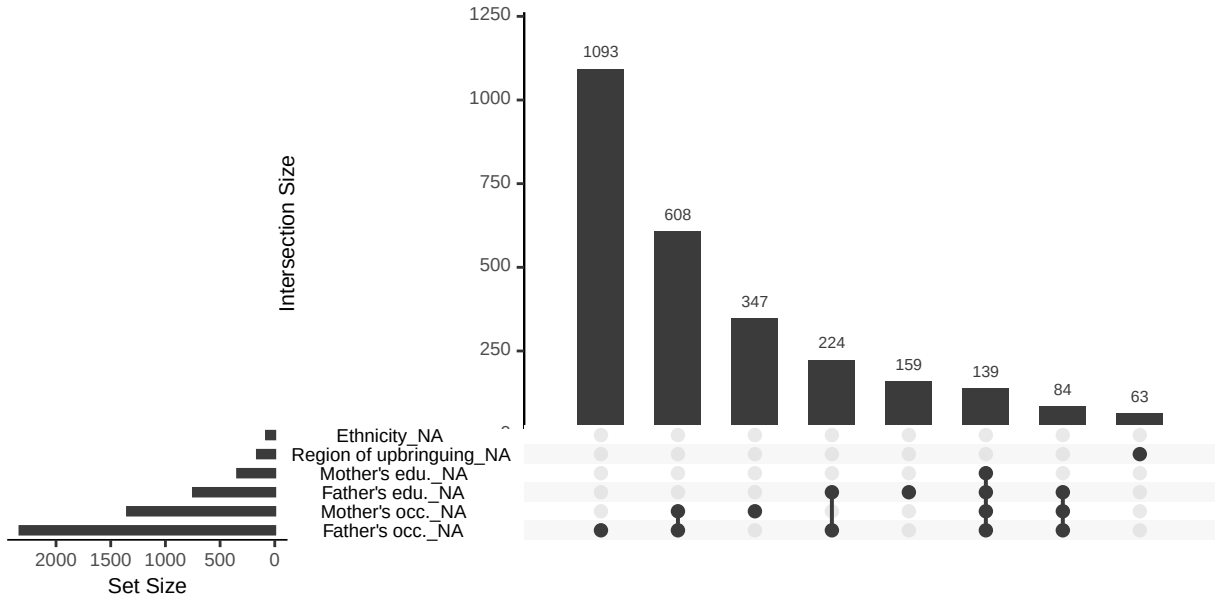


Figure 1: Missing patterns: *Left*: Marginal distribution of missing observations per variable. *Right*: Combination of missingness across cases

3.2 Differences in expected total equivalized household income between samples



Figure 2: Differences in expected equivalized household income between the sample with non-missing circumstances and the total sample

3.3 Gini coefficient

Table 5: Gini coefficient in analysis sample and total sample

Wave	Sample	Gini	Lower bound	Upper bound	Average income
Wave 2016	Analysis sample	0.413	0.384	0.418	45,690
Wave 2016	Total sample	0.420	0.380	0.428	42,959

3.4 Differences in Gini coefficient between samples

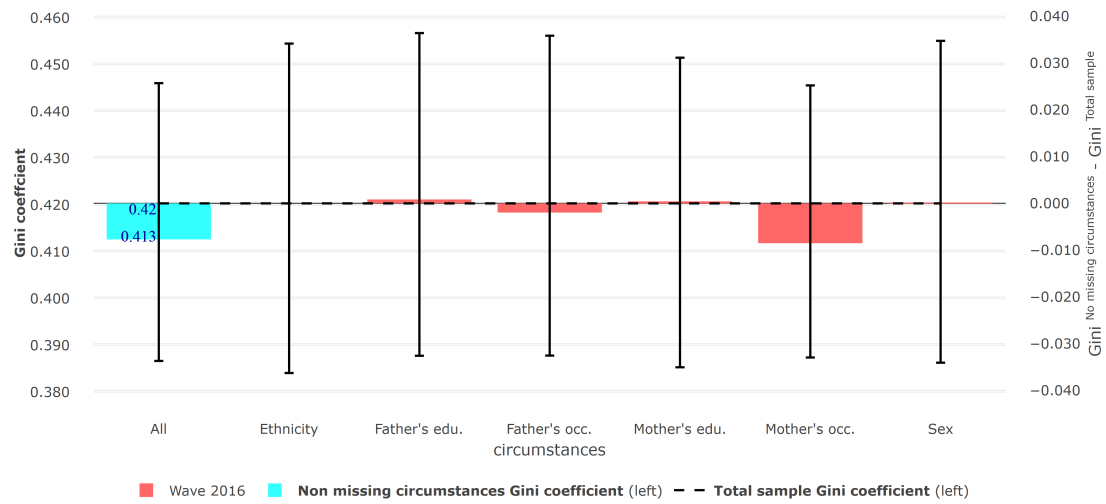


Figure 3: Differences in Gini coefficient between the sample with non-missing circumstances and the total sample